

JPM | US MACRO THEMATICS - Bonds: Real Worries that Aren't Yet Tradable

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US Thematics focuses on key macro views, market debates, and favored investment themes.

Bottom Line Summary: Yesterday's selloff was driven by the oil-yields feedback loop: expiry of the US-Iran MOU pushed crude higher, reinforcing a higher-for-longer rates backdrop as the 30-year yield hit levels last seen in 2007, hitting rate-sensitive sectors like utilities, homebuilders, real estate, and airlines.

Today the market is weak on entirely different drivers: Momentum and Semis are underperforming on the Anthropic ARR data and Fabrinet's post-earnings drop, yet the narrative remains fixated on the same yield story, *which itself looks a little odd.*

The bond debate boils down to a structural bearish case (ripping commodity inflation, stretched global fiscal deficits, corporate issuance crowding out sovereigns, and questions over the marginal UST buyer) versus a more benign policy-driven case (fiscal risks not yet tradable until late-2027/2028, AI financing being purchase commitments rather than hidden leverage, and political incentives to cap yields and commodities).

The near-term lean is toward the benign outcome: with the real equity-to-bond "switch" cited around 6.5% on the 30-year. The bigger risk sits in the "plumbing" (credit or fixed-income supply/demand breaks), and the key question is whether policymakers can engineer a goldilocks outcome or simply lull the market into complacency before structural pressures reassert.

AI financing is not yet a tradable catalyst: purchase commitments differ from off-balance-sheet debt, so the exposure is an earnings-quality and capital-allocation risk (a slower failure mode) rather than a credit event. Cash-rich balance sheets make the commitments survivable unless capex outruns the revenue meant to fund it.

All of my morning inbounds have centered around a single topic: **bond yields**. Thank you Financial Times ([Global Bond Sell-off Deepens](#)) and Bloomberg ([US 10-Year Yields Climb to Highest Since 2025 as Rout Deepens](#)) and WSJ ([Global Bond Markets are Getting Hammered](#)).. *we get it*. Perhaps this makes sense as **yesterday's** price action was largely bond-yield related. The US-Iran MOU expired sending crude higher. Rising crude then reinforced a higher-for-longer rates backdrop (the mechanical correlation of oil and yields rearing its ugly head again) as the 30-year Treasury yield tapped levels not seen since 2007. The rate/crude move then crushed correlated equity sectors such as utilities, homebuilders, real estate, and airlines. The strength in Semi's on the session overall masked how bad the underlying tape was.

This morning, the market is selling off on a completely different driver as Momentum and Semi's are underperforming. A few things to plausibly point to:

1) Anthropic: There's a lot of focus this morning on the \$65B ARR number that appears to be running well below what Yipit and other data sources were implying. [Mark Schilsky TMT Spec math: ~\$65B at the end of July vs. \$47B at the end of May suggests ~+\$9B of ARR added per month. Assuming that these numbers are correct would suggest that the estimate from SemiAnalysis that the major AI labs are collectively adding ~\$30B monthly are aggressive]

2) Fabrinet (FN) Earnings: The crux is that the print was generally fine (perhaps missed hedge fund expectations), but the stock is down -17%. This reaction function is leading to contagion into other areas of opitcal.

The underperforming areas of the market are **different** than yesterday, but everyone is focused on the same yield-related narrative... *now that seems a little odd...*

BOILING DOWN THE BOND DEBATE

I've been somewhat pounding the table on the idea that the path of least resistance in long-term rates is side-ways to higher ([here](#)) and ([here](#)) and ([here](#)). But.. the fact that so many voices are now entering the conversation (in the bearish bond direction), **my ears are perking up as a trader (is it finally time to go other way?)**

The core tension in bonds pits a bearish structural case against a more benign, policy-driven counter-case.

(1) BOND YIELDS HIGHER

On one side, **commodity inflation is ripping(!)** and will inevitably bleed through into goods, services, and wages. Fiscal deficits are already stretched, not just in the US, but *simultaneously* across the UK and Japan. On top of this, there's worry that a rising wave of corporate issuance is crowding out sovereign debt. It all forces the same question: **If corporates offer competitive alternatives and rest-of-world bonds carry higher yields with no FX headache who is the marginal buyer of USTs...?** Layered on top of this, is a concern about the private market and AI-related spend. There's a worry that illiquid products or opaque financing (which is now being *heavily* picked up by media outlets) could be hiding leverage, echoing prior cycles where bones were buried in off-balance-sheet vehicles. In recent client conversations, I am hearing ~6.5% as level the 30-year yield level cited as a potential switch point that pulls capital into fixed income (*that's erm.. pretty far away*). Finally, an aggressive push toward higher yields would likely reinforce the historically weak equity seasonality that September tends to deliver, creating a mutually amplifying dynamic between rates and stocks.

(2) BOND YIELDS LOWER (BOND BUYERS)

Against this, the rebuttal is that the fiscal story is certain real, but not yet tradable (*this is what matters*). The finances don't optically screen as downgrade material until the latter half of the decade, meaning the reckoning is more plausibly a late-2027/early-2028 event than a present-day one, despite the pull-forward of spend. The AI financing fears *also* may be overblown as they are simply **purchase commitments rather than genuine off-balance-sheet debt**. Not to mention, they are being undertaken by companies with sizable free cash flow and cash-rich balance sheets. That is *distinctly different* from the leveraged entanglements or thin-air spending that unwound past cycles. The seasonal-weakness equity call is also somewhat of a lazy thesis that resurfaces every autumn (seasonals are interesting to look at, but shouldn't be the focal point of any macro thesis).

Incentives lean towards finding a yield floor

There are strong political incentives to suppress interest rates and commodity prices over the next few months. To name a few: refiners potentially running flat-out through maintenance season to ease product prices, the possibility of higher Russian exports, and tariff or FX interventions that can be tightened or loosened on short notice (Yentervention was *not* a coincidence, more on that [here](#)). The main problem is these levers are both counterbalanced by domestic fiscal pressures and are ultimately a guessing game. The outcome hinges less on rational market mechanics than it does on political agendas set in rooms the market has no visibility into. Hard to really make investment decisions on it.

Marissa's Macro Musings: Bond Floors and Equity Support...

I'm honestly starting to edge myself a little bit more towards outcome 2 than outcome 1 in the short-term on the margin. **Or, at the very least, one should be open to the fact that bond yields aren't yet what should worry equity investors right now** (as I like to say: It's **rate vol**, not **rates**, that portfolio managers should worry about, [here](#)). If the real 'switch' from equities to bonds takes place +150bps higher in 30y yields, there's somewhat of a ways to go. My bearish view on the broader market is based in a "plumbing" break (think: credit collapse, supply/demand imbalance in fixed income markets) more than anything else. **The unresolved question is whether policymakers can actually engineer the goldilocks outcome for markets. Or at the very least, just lull the market into complacency before the structural pressures reassert.** So far they've done a good job. *This is where being smart with hedges comes in to play.* The complacency of the equity market at the start of this week (wrote about this yesterday: [here](#)) is a prime example. VIX hit lows not seen since December 2025 while the market cusped all time highs amidst an environment of macro uncertainty! *Take the cheap hedges when the market becomes complacent and allow yourself to stay invested while the story is still going.*

AI Financing is not yet a tradable Catalyst

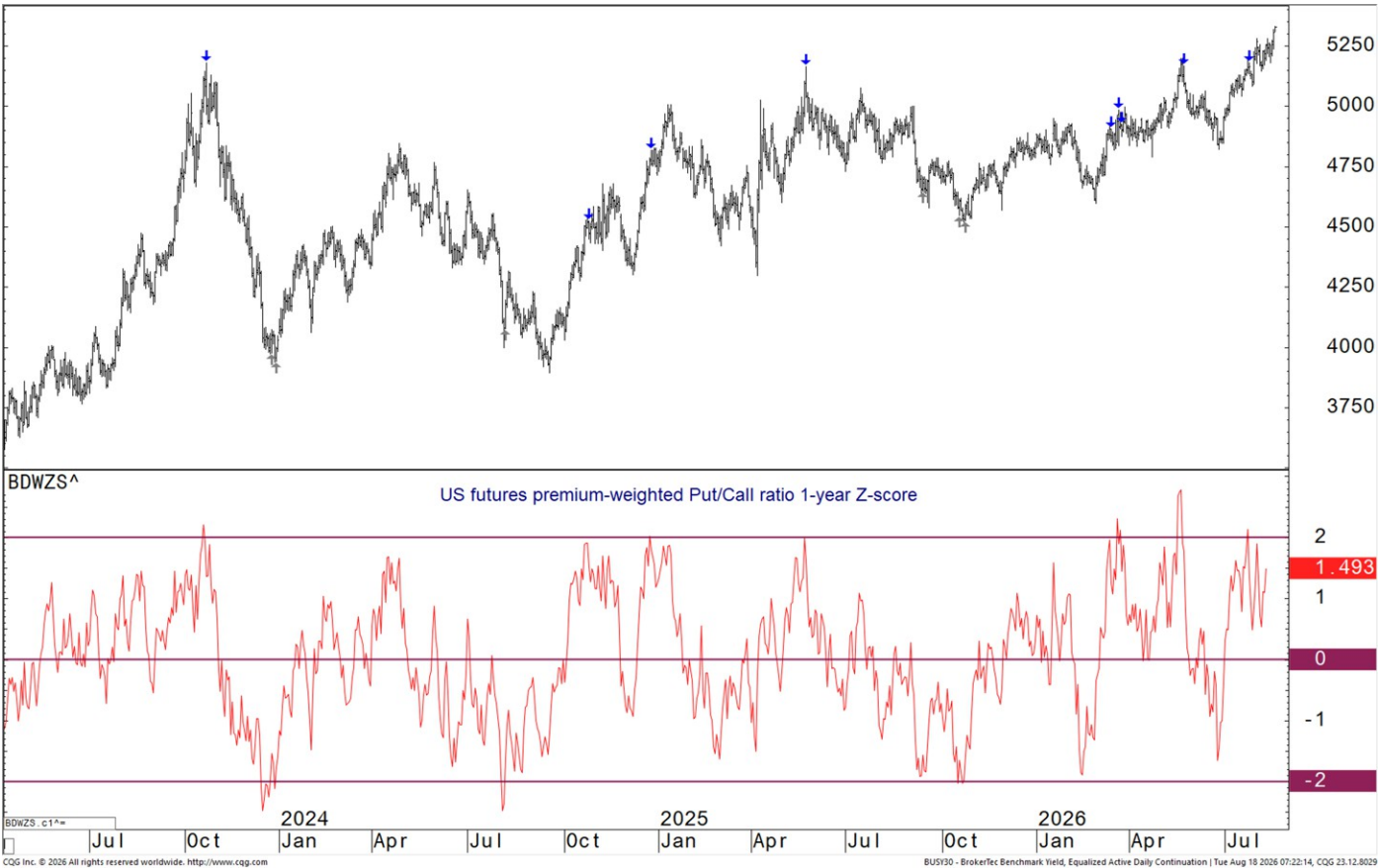
For all the fear mongering around AI financing recently (looking at this WSJ Journal article claiming Tech's AI Spending is \$3trln higher than it seems [here](#)), it's important to ingest that off-balance-sheet debt and purchase commitments are genuinely different animals. Off-balance-sheet debt is a financing obligation deliberately structured to stay out of the leverage optics (the SPV/vendor-financing playbook that torched prior cycles), whereas a purchase commitment is a contractual agreement to buy goods or capacity over time. The latter is a demand/capex obligation, not a leverage entanglement, and it therefore doesn't carry the same refinancing-cliff or hidden-leverage risk that actually breaks cycles. **When media outlets frame AI-spend as quasi-hidden debt, it's mislabeling the mechanism.** Purchase commitments aren't credit risk, *but they aren't costless either.* They are still forward obligations **that assume revenue materializes to justify them.** If AI monetization disappoints, those commitments become a margin and free-cash-flow drag rather than a default event. This is to say, the risk doesn't vanish, it just changes form, from a credit/leverage risk into an earnings-quality and capital-allocation risk. *That's a slower, less dramatic failure mode than an Enron-style unwind. So it's not 'no risk' but it's a different risk.*

Cash-flush balance sheets and trillions in free cash flow make the commitments survivable. The real risk is the market underprices the scenario where the capex cycle outruns the revenue that was supposed to fund it. **This is why the Anthropic ARR figure is such a big focus today, revenue needs to hold up.**

30-Year UST Technical Updates From Jason Hunter

The 30-year bond selloff extended through the 5.30% Sep 2024-Oct 2025 .618 swing objective, and at this point, shows no signs of seller exhaustion on the chart. Our US futures contract premium-weighted Put/Call Z-score measure sits at 1.45 standard deviations, shy of the 1.9 oversold threshold, and we do not see any sign of trend deceleration in the price pattern. The setup keeps our attention fixed on medium-term support levels that include the 5.38-5.47% 1997 trend line breakdown measured move objectives and the 5.44-5.59% 2002-2008 range yield highs. The tactical August triangle pattern measured move objective also sits in that broad cluster of levels. In our view, the short-term bear trend remains firmly in gear as long as the bond is trading cheaper than the 5.15-5.20% 2023-2026 pattern cheap. Key medium-term resistance remains at 4.80-4.90%. Full piece [here](#).

The 30-year bond has reached the 5.30% Sep 2024-Oct 2025 .618 swing objective and shows little to suggest the move is exhausted at this point. The next meaningful zone surrounds 5.50%



-Marissa

CTA levels

Source: JPM Research Delta-One Flows & Positioning - Updated: 8/18/2026

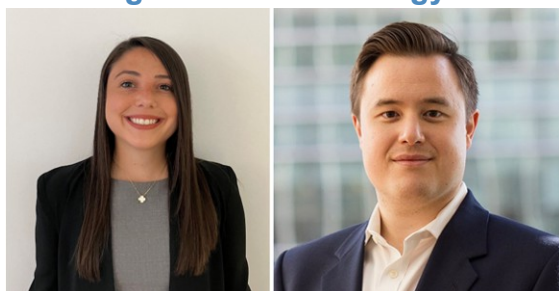
				Current CTA Levels							
Americas	Ticker	Current	Prior Week CTA Signal	1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	CTA Signal
S&P 500	ES1 Index	7,795	Long	7,563 3.1%	7,412 5.2%	6,854 13.7%	6,477 20.4%	7,546 3.3%	7,348 6.1%	7,101 9.8%	Long
Nasdaq 100	NQ1 Index	30,224	Long	29,231 3.4%	29,084 3.9%	24,791 21.9%	23,844 26.8%	29,453 2.6%	28,404 6.4%	26,847 12.6%	Long
Russell 2000	RTY1 Index	3,060	Long	2,985 2.5%	2,779 10.1%	2,653 15.3%	2,300 33.1%	2,981 2.7%	2,867 6.7%	2,712 12.8%	Long

				Current CTA Levels							
Americas	Ticker	Current	Prior Week CTA Signal	1m Mom.	3m Mom.	6m Mom.	12m Mom.	50d MA	100d MA	200d MA	CTA Signal
2y UST	TU1 Comdty	103.1	Short	102.9 0.1%	103.2 -0.1%	104.4 -1.2%	103.8 -0.7%	103.0 0.0%	103.3 -0.2%	103.7 -0.6%	Short
5y UST	FV1 Comdty	106.4	Short	106.5 -0.1%	106.8 -0.3%	109.6 -2.9%	108.7 -2.1%	106.7 -0.2%	107.2 -0.7%	108.2 -1.6%	Short
10y UST	TY1 Comdty	108.5	Short	108.9 -0.3%	109.1 -0.5%	113.0 -4.0%	111.7 -2.8%	109.2 -0.6%	109.8 -1.2%	111.2 -2.3%	Short
UST Ultra 10y Note	UXY1 Comdty	110.2	Short	111.0 -0.8%	111.0 -0.8%	115.8 -4.9%	113.6 -3.1%	111.3 -1.0%	112.1 -1.7%	113.6 -3.0%	Short
UST Long Bond	US1 Comdty	108.7	Short	110.8 -1.9%	110.5 -1.7%	117.8 -7.7%	114.2 -4.8%	111.4 -2.4%	112.2 -3.1%	114.2 -4.8%	Short
UST Ultra Bond	WN1 Comdty	109.7	Short	112.6 -2.6%	112.3 -2.3%	120.7 -9.1%	116.9 -6.1%	113.4 -3.3%	114.4 -4.1%	116.7 -6.0%	Short

JPM Global Macro Research

- **Global Index Volatility Chartbook** - Volatility Compression Extends, Led by KOSPI2 and Oil- Twinkle Mehta [here](#)
- **US Tactical Derivatives Strategy** - Only You Can Prevent Wildfires Part II: Reiterating Buying PCG Call Spreads- Bram Kaplan [here](#)
- **Delta-One Flows & Positioning** - Semis outflows continue amid broad Tech demand; outflows from Discretionary/Financials and fiat ETFs, inflows to long-dated USTs; Managed Money buys Brent- Bram Kaplan [here](#)
- **US Treasury Market Daily** - June TIC update- Jay Barry [here](#)
- **JPM FX Positioning Monitor** -EUR/JPY intervention estimate & JPY positioning update- Patrick R Locke [here](#)
- **US Tactical Derivatives Strategy** - PayPal: Deal or No Deal?- Bram Kaplan [here](#)

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